

WPROMOTE

Your Changing Customer

Retail Media, Social Commerce,
& Media Convergence



The lines between channels are blurring...

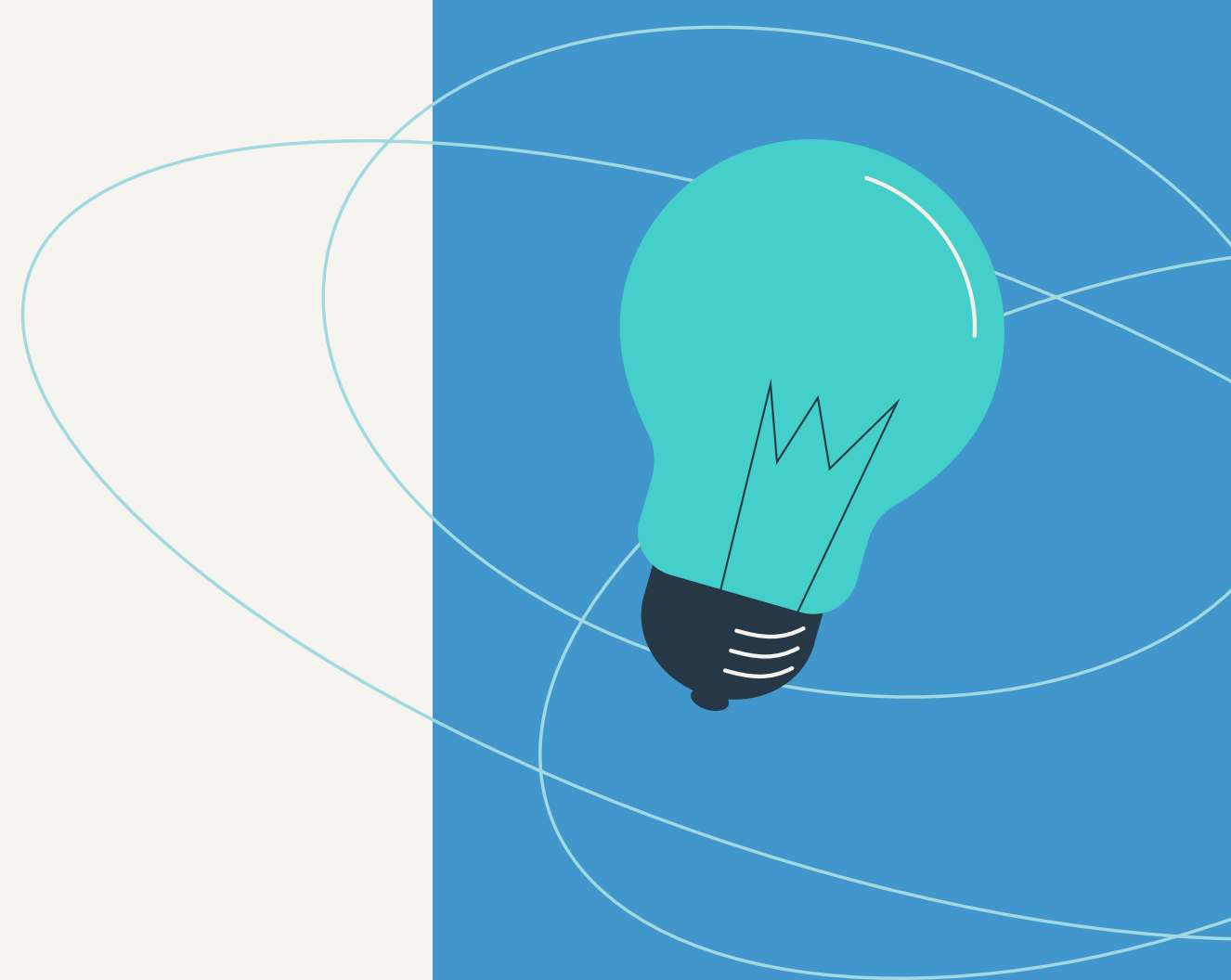
Not so long ago, the different kinds of media brands could leverage to connect with customers were fairly distinct: people used search engines to look for information, image-sharing apps to exchange pictures, and ecommerce platforms to buy products, to name a few. But that's all changing.

The lines between “channels” have never been more blurred: social is search, retail media is TV, and video is everywhere. Platforms are competing on all fronts for consumer attention and brand dollars: they need to provide an engaging experience even as user preferences evolve, ensure brands can generate a return on their investments despite data deprecation, and incorporate new capabilities like artificial intelligence (AI) to stay ahead of the competition.

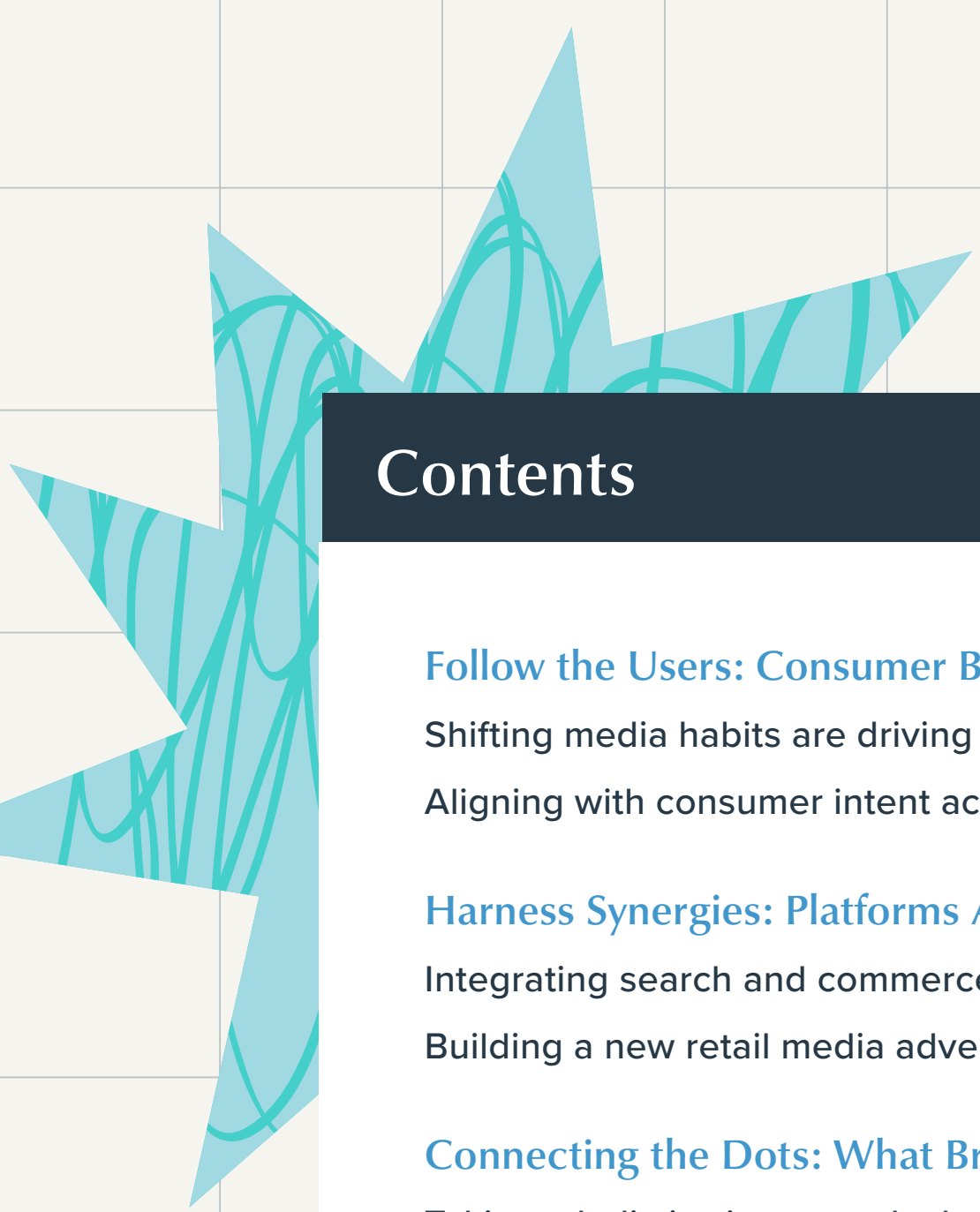
In some ways, all of the major platforms are trying to figure out how to be everything everywhere all at once. But this spectacular shift to media convergence is leading to additional challenges because marketing teams traditionally operate in silos based on channel, leaning on experts with deep expertise in a specific type of media.

That model is broken. You need to find ways to break down these silos to take advantage of new convergent media opportunities and drive growth for the business. But a holistic strategy isn't always easy to put into practice.

That's why we're breaking down the three critical variables that are fueling this massive shift: consumer behavior, platform convergence, and an integrated approach to media.



**PLATFORMS ARE
TRYING TO BE
EVERYTHING
EVERYWHERE ALL
AT ONCE**



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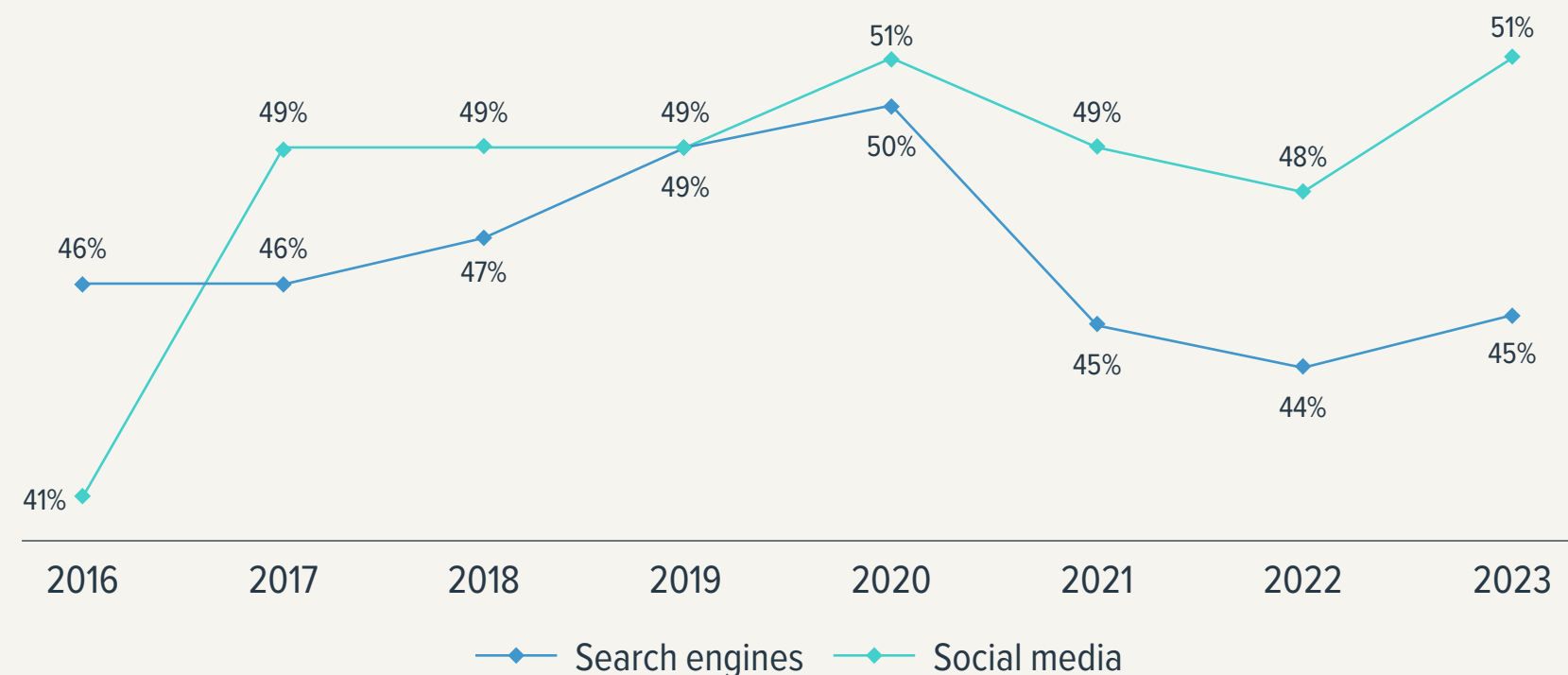
FOLLOW THE USERS

Consumer Behavior Is Changing

Consumer behavior doesn't sit still, and it is a key driving force behind platform evolution. You need to keep up with those changes so you can effectively build convergent media opportunities into your planning and meet the needs of your target audiences with the right content.

GEN Z PREFERS SOCIAL MEDIA OVER SEARCH ENGINES WHEN LOOKING UP BRANDS

(% of Gen Zers worldwide who use search engines vs. social media, 2016-2023)



Source: eMarketer

Shifting media habits drive media convergence

[GWI](#) reports that the number one reason consumers go online is to find information. Of all the digital channels, we probably associate search engines most strongly with that goal.

But more and more consumers are starting their search for products or solutions not on Google or Bing but on platforms like TikTok, Reddit, and Amazon. That's why Google itself is bringing more social elements and content

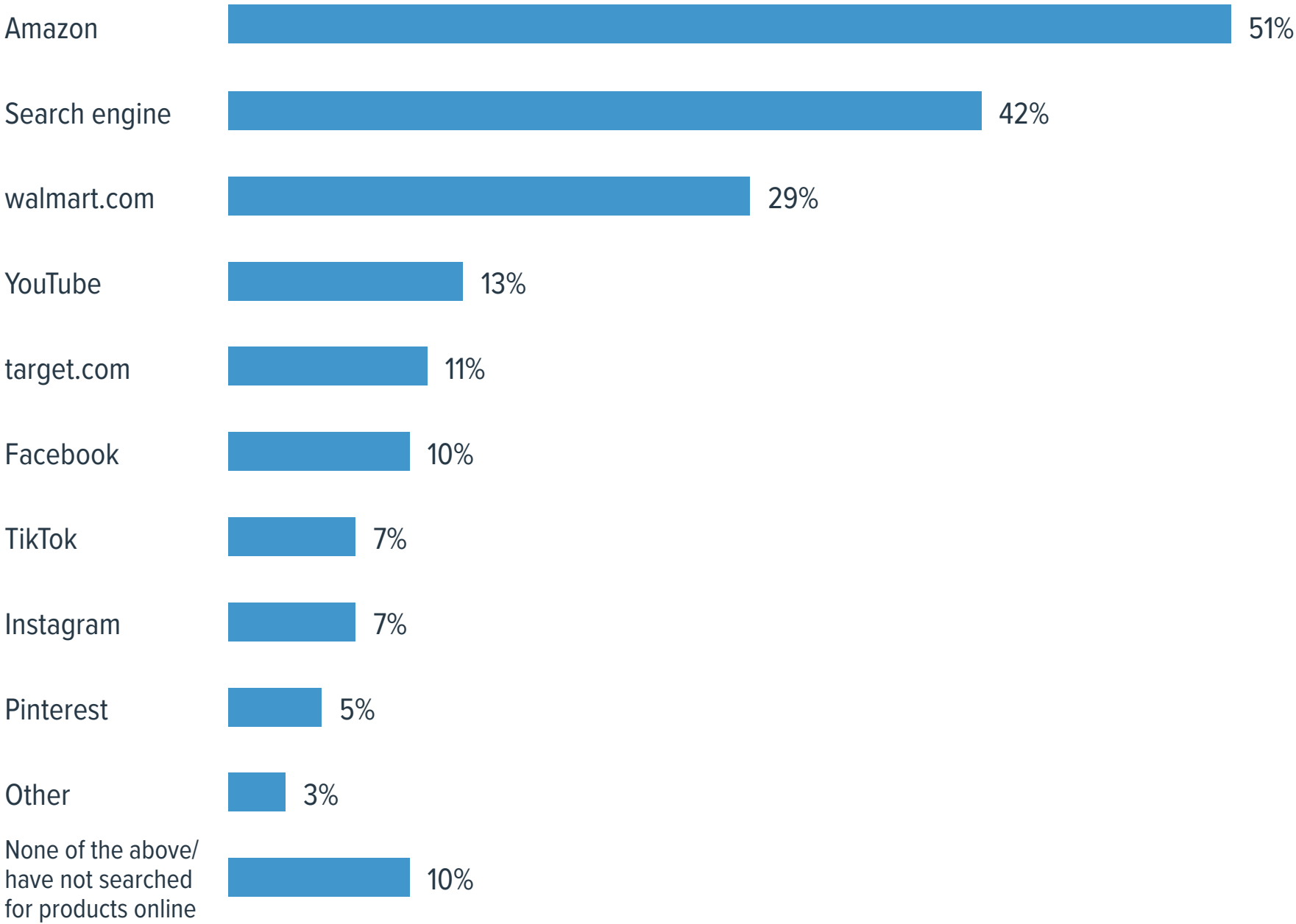
onto the SERP, leaving the "ten blue links" firmly in the rearview mirror.

Social search is especially popular among Gen Z; according to a study from [Adobe](#), over 60% of Gen Zers have used TikTok as a search engine, compared to almost half of millennials and a third of Gen Xers. [eMarketer](#) found that 59% of Gen Zers named YouTube as their top choice for search, with TikTok and Instagram taking second and third place.

And search behavior isn’t just shifting to social. When it comes to products in particular, searchers often start their discovery journey on retail media platforms. Amazon dominates this category, with more than half of product searches starting on Amazon, according to [Jungle Scout](#), while only 39% started on an engine like Google.

WHERE US CONSUMERS START THEIR SEARCH WHEN ONLINE SHOPPING, FEB 2024

(% of respondents)



Source: Jungle Scout

AI is also capturing more queries that once belonged squarely to traditional search engines. Consumers are increasingly turning to chatbots powered by large language models (LLMs), like Google's Gemini and OpenAI's ChatGPT, to get information.

That share will likely increase significantly as LLMs get more sophisticated and consumers get more comfortable with the technology. [Gartner](#) predicts that search engine volume will drop by 25% by 2026, thanks to AI functions like chatbots.

But all of this data (and even the way it's presented) underscores an important contradiction: marketers think about the digital ecosystem

in terms of channels. But that's not how consumers operate. According to [DataReportal](#), consumers don't necessarily care whether their media consumption is labeled as TV, social media, or something else—they just want to be entertained, stimulated, inspired, or feel a sense of connection.

That's important, because a channel-based approach to marketing produces silos, which negatively affect everything from strategic decisions to business outcomes to data sharing.

A siloed strategy is already outdated and could hurt your brand and business. That's only going to get more acute: the idea of an “all-in-

one” platform, which offers a single seamless experience where users can do everything from searching for information to buying a product, is becoming more of a reality. The rise of social commerce is a great example of this move toward a one-stop shop: according to [Statista](#), it's set to account for 5.2% of all ecommerce transactions by 2025.

Your marketing needs to flow from the customer experience. Your first priority should be to stay on top of these changing preferences so you can meet customers where they are on their purchase journey.

Aligning with consumer intent across platforms

Whether you're trying to drive up brand awareness, convert consumers to customers, or capture first-party data, you've got to show up in the right place for your specific audience.

But it's not enough to know your audiences are using any given channel. You need to think about what consumers want from a specific platform when they choose to spend their time there. What are they looking for? Why are they there? How can your brand create content and/or ads that deliver value that aligns with those needs? That could be anything from entertainment to information to the right offer—or some combination of all three.

Due to the convergence of media and the rise of both social search and social commerce, the traditional funnel no longer applies to everyone. Consumers can now move freely from the awareness stage to purchase without a single message from a brand.

Users are actively stumbling upon conversations about a product or service and then following it up by seeking out reviews to validate the conversation on Reddit, TikTok, Instagram, or YouTube. This new non-funnel journey might look something like this: Awareness - Inspiration - Interest - Exploration - Desire - Community - Action - Loyalty.

THE NEW NON-FUNNEL CUSTOMER JOURNEY



With that new consumer experience in mind, the impetus is now on the brand to tailor content and messaging to your audience's preferences, habits, and communities. Social listening gives you real-time insights into how people view your brand and the conversations happening around your products or services.

Unlike focus groups or surveys, which often take a lot of time and money to put together, social listening gives you real-time insights into and context around how people view your brand and the conversations happening around your products or services so you can build the right content in response.

These tools can help you align your content with user intent and open up opportunities to start a two-way conversation between your brand and the communities of customers using these platforms. If your brand invites your customers to the table by both listening and responding to them, you're earning a lot more than a single conversion.

You're creating a sense of co-ownership with your customers. That's the first step to

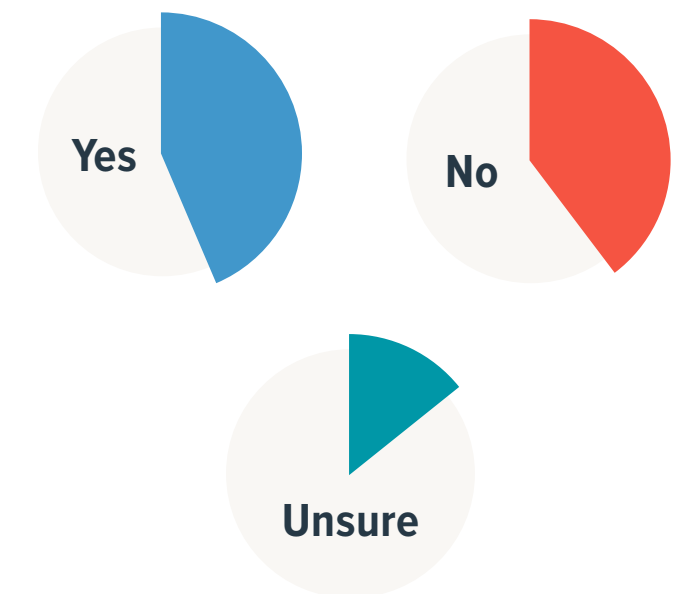
building an army of passionate advocates and evangelists that will spread the word about your brand far more effectively than any advertisement or campaign.

That doesn't just apply to the upper funnel. Remember when we said the number one reason consumers go online is to find information? The shift toward social to get that information indicates that people are looking for something different, even at the final stages of the purchase decision (especially if they can buy directly on the same platform they're using to search).

These users don't just want a blue link, they want to see the product or service in use. They want to know what their favorite creators or influencers suggest. It's not enough for your brand to pop up on a results page, whether that's on Google, TikTok, or Amazon. You need to bring more to the table to earn their attention (and, of course, their dollars).

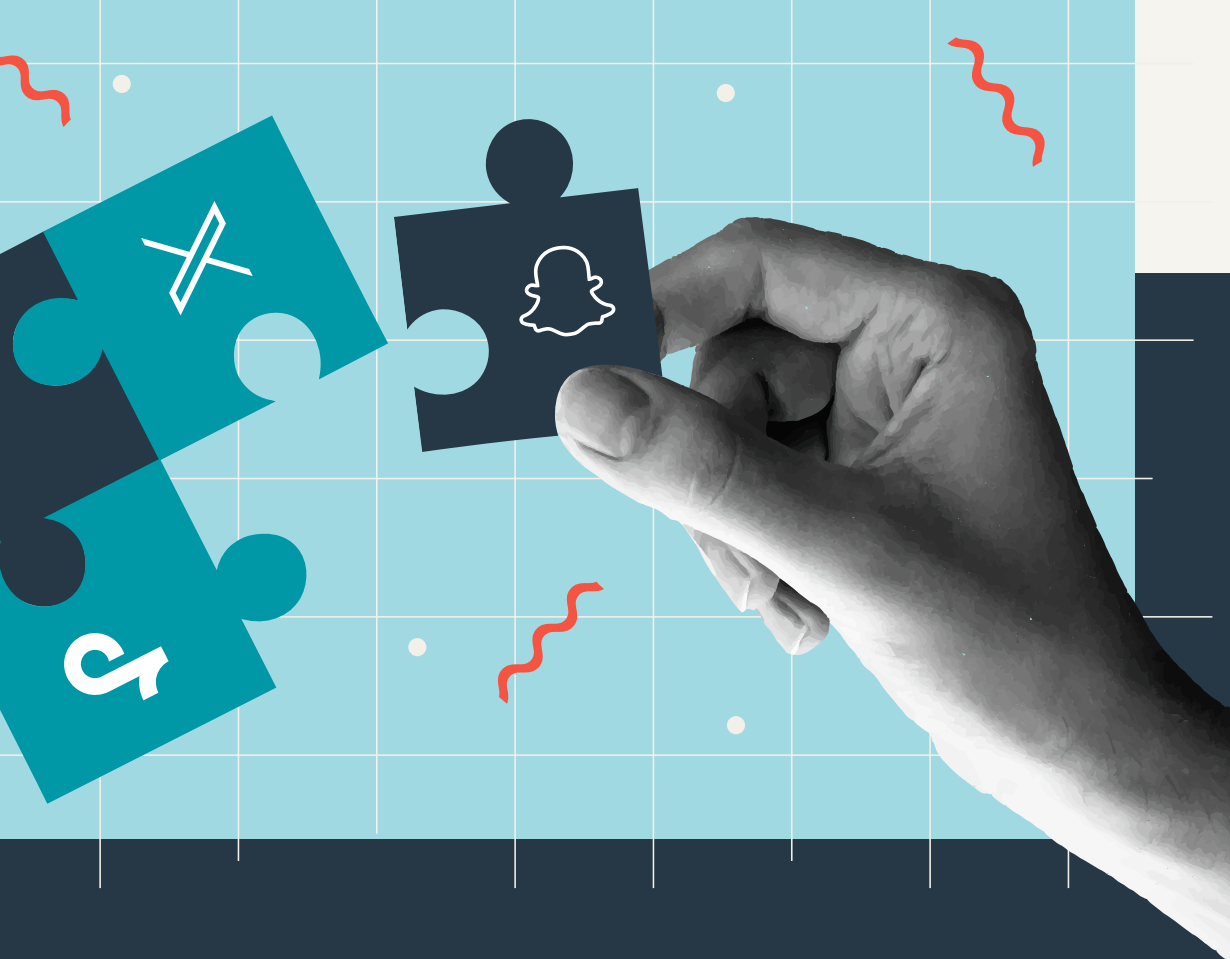
Make sure you have budget set aside to try out new ad types, platform capabilities, creative and messaging, tactics, and

DO YOU CONSIDER SOCIAL LISTENING TO BE A KEY ELEMENT IN YOUR STRATEGIC PLANNING?



Source: Social Media Today + Meltwater

channels so you can see what works for your audiences. Remember: consumer behavior is not static, it's changing all the time. So testing should be a forever part of both your strategy and budget.



HARNESSING SYNERGY

Platform Convergence

Consumer attention isn't the only thing platforms are competing for in the age of media convergence. Social platforms and retail media networks in particular are looking to capture ad dollars by adding capabilities that prove they are uniquely primed to deliver performance results.

Integrating search and commerce into social platforms

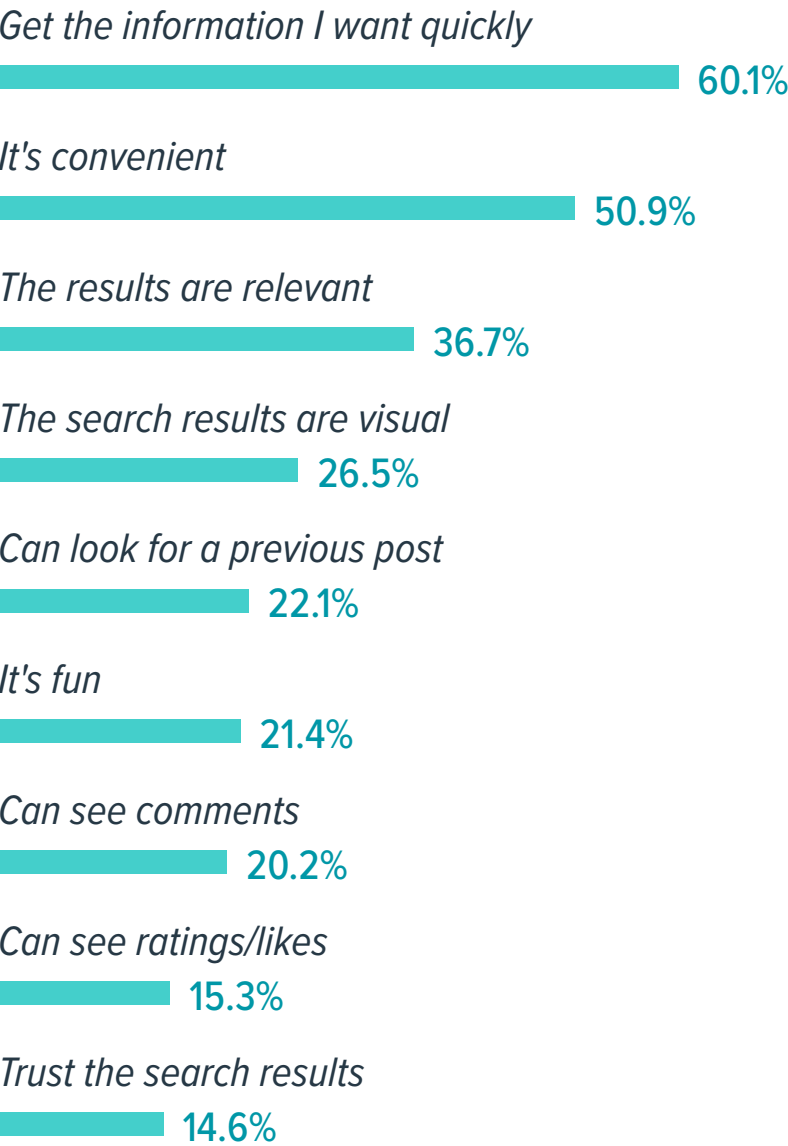
So why are consumers turning to social media to search for information? Unlike search engines, which traditionally give search results in the form of links and text descriptions, social platforms offer users a more visual, engaging experience with video and image search results.

In response to that behavioral shift, social platforms have turned to partnerships to augment their search offerings. Microsoft's Bing is showing up in Snap's MyAI via sponsored links and Meta's AI via info in text-based chats. Google is positioning itself to play a major role in a convergent media ecosystem; it is now partnering with almost all of the major social players in various ways, including TikTok, Meta, Snap, Pinterest, Reddit, and X (formerly Twitter).

Google has also integrated more social components into its flagship search engine through the Forums filter (formerly Perspectives), which features content from videos, blogs and forums that reflect more first-hand, lived experiences from real people.

GEN Z TURNS TO SEARCH ON SOCIAL CHANNELS FOR QUICK, CONVENIENT RESULTS (% of US Gen Z social search users, July 2023)

Question: Why do you use the search function on social media?

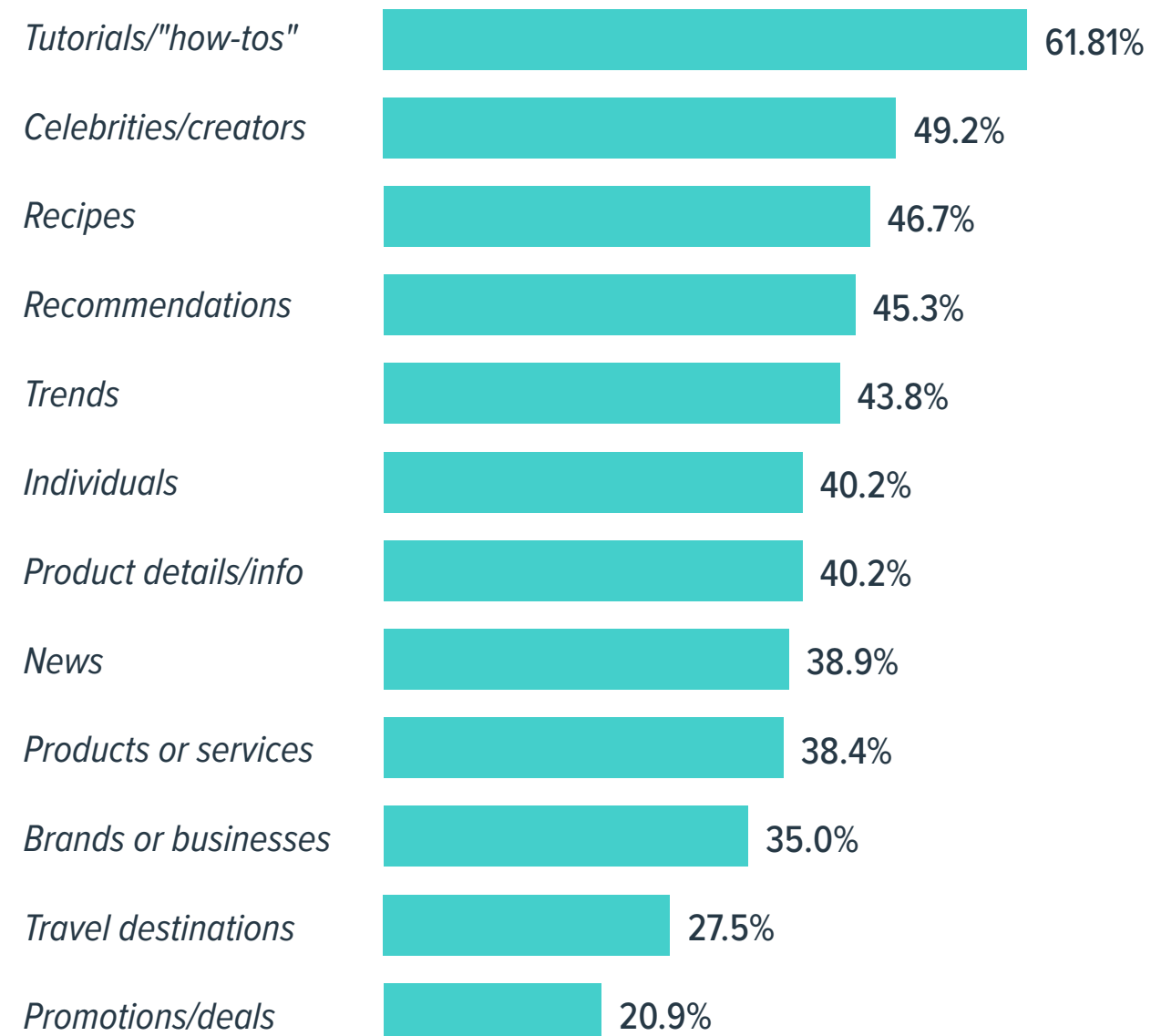


Source: eMarketer

EDUCATION IS MOST SEARCHED TOPIC AMONG GEN Z ON SOCIAL PLATFORMS

(% of US Gen Z social search users who searched for content/ information on social media, July 2023)

Question: What type of content or information have you searched for on social media in the past month?



Source: eMarketer

But why is social the tip of the spear for convergence? It feels like a natural evolution; for consumers, search isn't just about finding the right product. Better information is the goal, and guidance from trusted creators and communities are playing a bigger role in the purchase process. With Gen Z leading the way, consumers use social platforms to find those perspectives.

It's also true that social platforms are no strangers to the idea of convergence, at least when it comes to functionality. Instagram Stories, Reels, and Threads look very similar to Snapchat, TikTok, and X (formerly Twitter). YouTube Shorts is also built to replicate some of TikTok's draw, while TikTok itself is expanding into long-form video, long the domain of a dominant YouTube. The "all-in-one" platform has always been part of the vision of social platforms, in one form or another.

Social platforms have only recently prioritized more sophisticated search functionality in response to new consumer behavior changes. They are still trying to figure out how to monetize against the behavior as they invest in improving in-platform search, and most don't have standalone search ads.

On the organic side, a renaissance of sorts is happening. Platforms like Reddit have already made significant investments to improve in-platform search over the last six months. Marketers are focusing on creating and launching high-value content that's optimized for search on a particular platform. Successful brands are paying attention to what consumers want when they show up on the platform and building assets that meet those needs.



MAKE NO MISTAKE: ADS ARE COMING.

Paid search on social is still in its infancy. YouTube launched text search ads in 2019, and now offers image and video ads as well. TikTok launched Search Ads Toggle as an opt-in option for advertisers, and Instagram is currently testing search ads in some countries. But marketers should remember that, even on platforms that support search ads as a standalone option, keyword strategies aren't necessarily portable, so there will be a learning curve.

Search isn't the only area social media platforms are leaning into convergent opportunities: TikTok's new Out of Phone DOOH offering the platform is now bringing its famously addictive format to other areas, like theatres, video billboards, and airport advertisement screens.

Commerce is another focus for many of the major players. TikTok Shop, Instagram Shop, and Amazon's partnerships with Meta, Snap, and Pinterest are leading the innovation charge, building out new ecommerce functionality so customers don't even have to leave the social platform to make a purchase.

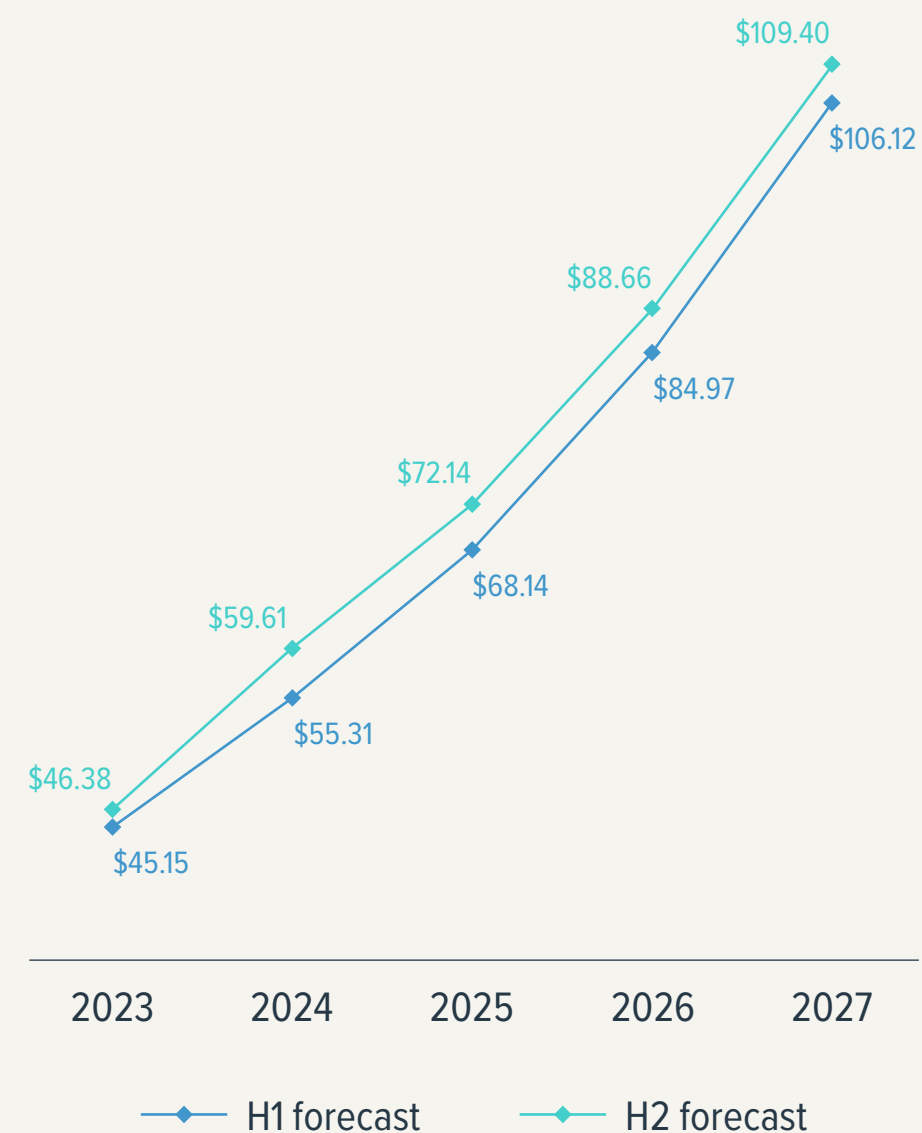
Building a new retail media advertising ecosystem

Retail media networks (RMNs) like Amazon, Walmart, Kroger, and Target are driving much of the conversation around convergence. They're growing fast and peeling away ad dollars from more familiar digital marketing channels; eMarketer predicts that US ad spending on RMNs will be almost a billion dollars higher in 2024 than in 2023, \$4 billion higher than their previous forecast.

RMNs are on the rise because they offer some enticing benefits to brands, especially access to their vast troves of first-party data that can help fill the void left behind by third-party cookie deprecation and multiplying privacy regulations. Marketers will also be able to get more granular as inventory opens up, thanks to platforms like Amazon and Walmart Connect that are moving fast to innovate and bring new capabilities to market.

Amazon is undeniably the most powerful RMN at the moment. But retailers like Target, Instacart, and Kroger are developing their network capabilities and unlocking more options for brands. And increased competition goes hand-in-hand with a push for more and faster innovation.

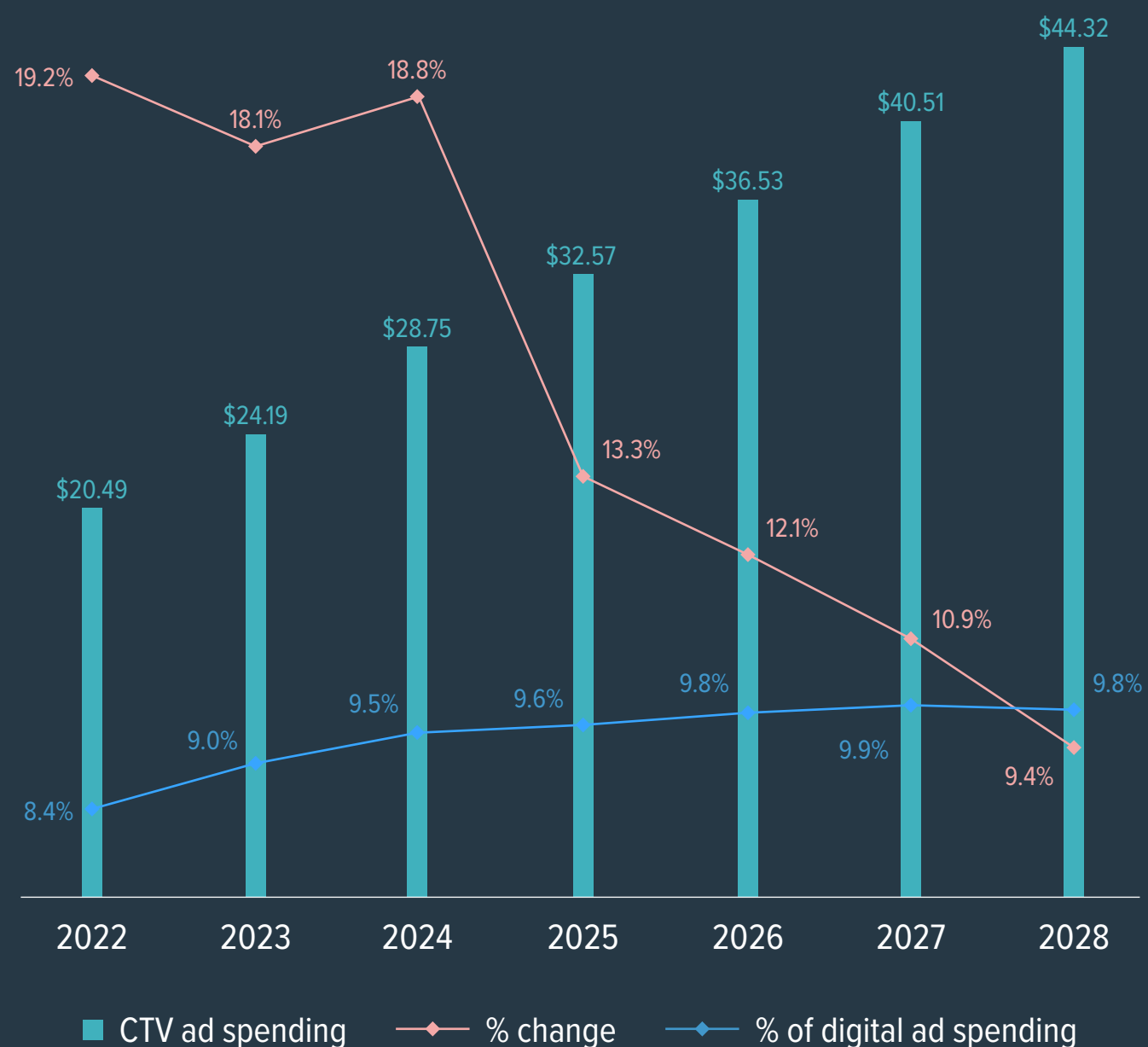
OUR 2024 US RETAIL MEDIA AD SPENDING FORECAST IS OVER \$4 BILLION HIGHER THAN IT WAS THIS SPRING *(billions, 2023-2027)*



Source: eMarketer

US CONNECTED TV (CTV) AD SPENDING, 2022-2028

(billions, % change, and % of digital ad spending)



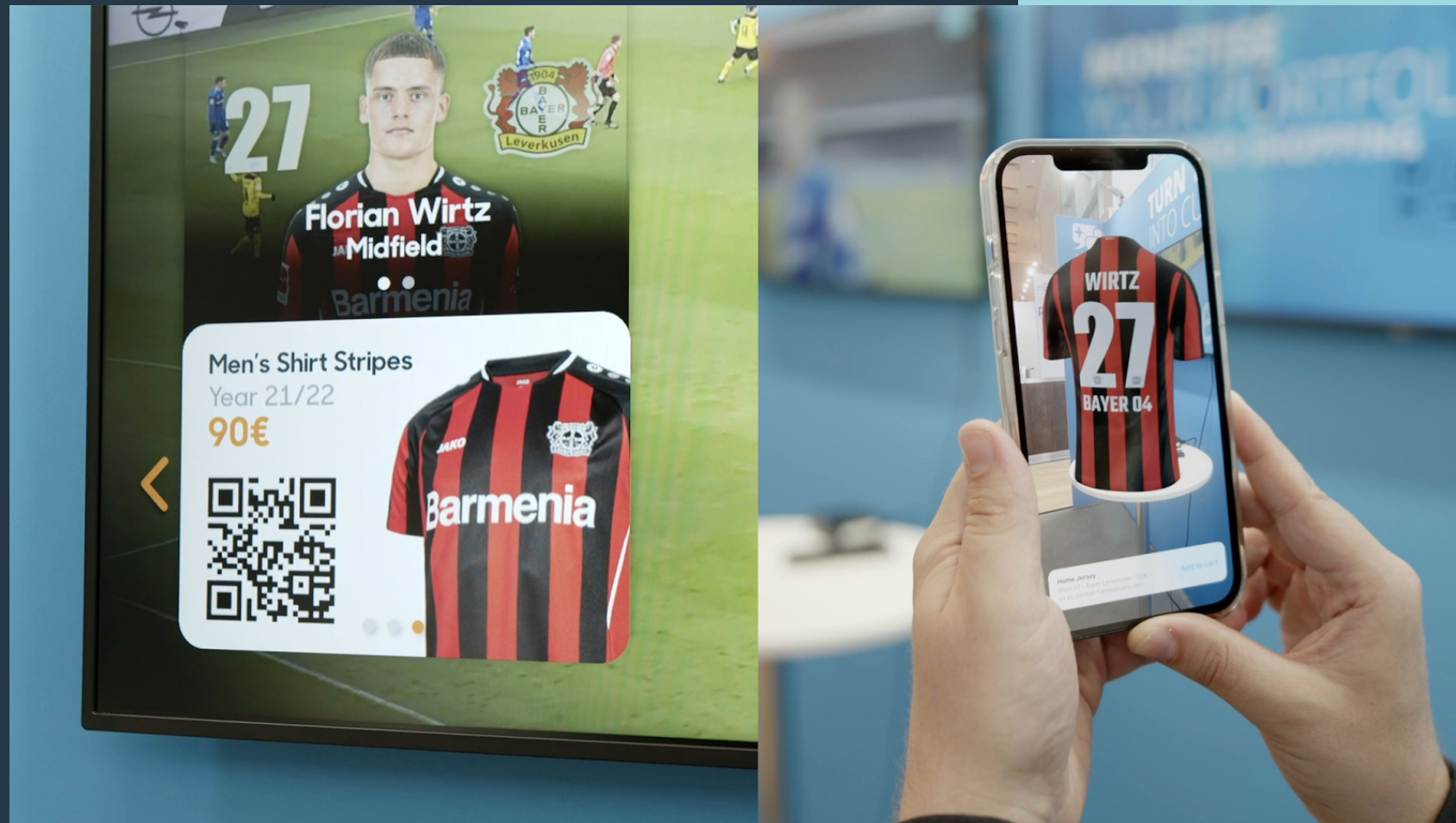
Source: eMarketer

Connected TV (CTV) is one of the biggest bright spots in advertising right now, continuing to gobble up more ad spend, pulled mostly from declining linear TV budgets. And it's clear that the concurrent rise of retail media and CTV is no accident; in fact, it's more like a symbiotic relationship. By 2027, [eMarketer](#) predicts that 1 in 5 CTV ad dollars will be retail media spend.

One of CTV's biggest draws for advertisers that doubles as a significant challenge is targeting. Advertisers want more granularity in targeting, and CTV needs data from RMNs to get there. RMNs like Amazon and Walmart that are making a big play for non-endemic brand dollars need the upper funnel engine of CTV to deliver on reach. The combined potential of new targeting capabilities and inventory opportunities are tantalizing to advertisers, even if they're not yet fully mature.

Business models are converging as big players across social, television, video, and retail vie for the same dollars and increasingly look to replicate each other's playbooks. Before partnering with multiple social platforms (with the notable exception of product discovery powerhouse TikTok), Amazon has tried its hand at breaking into the upper funnel by introducing social-esque functions to the platform like Inspire and Posts.

But Amazon's biggest breakthrough has been its demand-side platform (DSP). Advertisers have gotten access to new opportunities to drive reach and brand awareness at the precise moment that much of the digital marketing industry was facing a reckoning for overindexing on direct response campaigns, resulting in performance plateaus and diminishing returns. And Amazon isn't done yet: look no further than its recent switch to an AVOD model for Prime Video or new formats and inventory on Twitch.



Potentially industry-rocking partnerships between legacy media players and RMNs like NBCU and Walmart or Disney and Albertsons will also extend retail media's push into the upper funnel as "brand marketing" channels continue to tilt toward a more data-driven model, fueled by OTT, CTV, and other digital opportunities.

RMNs are answering the call for more data-driven brand marketing opportunities.

UK/US CONSUMERS WHO HAVE SEEN/PURCHASED AN ITEM THROUGH SELECT TYPES OF SHOPPABLE ADS, BY AGE, AUG 2023

(% of respondents in each group)

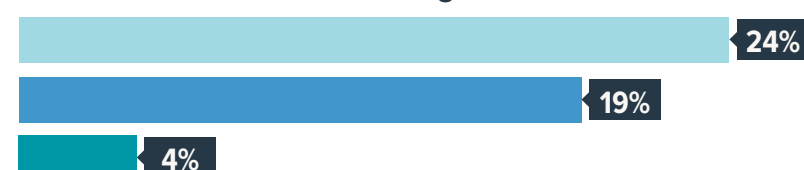
Shoppable content and advertising on search



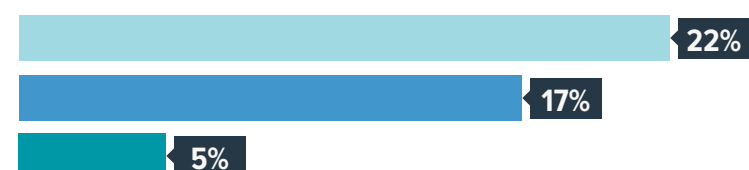
Shoppable content and advertising on social media



Influence/creator marketing



Visual search



Shoppable content and advertising on streamed TV



16-34 35-54 55+

Source: eMarketer

In February 2024, Walmart made a big bet by purchasing TV maker Vizio in the hopes of becoming a major player in CTV, putting Walmart in direct competition not just with Amazon but also with entities like Roku and YouTube. That acquisition gave Walmart access to all of the valuable data from Vizio's smart TV operating system and an opportunity to expand its ad-targeting capabilities to CTV, a huge leap forward for the RMN.

That's just one example, but it's also where things start to get even more interesting. The next frontier for CTV is shoppability: where customers can shop directly from TV commercials. Amazon has found a way to merge its streaming inventory with its marketplace so that consumers can shop while they watch, and developing more shoppable ad offerings to attract advertisers was almost certainly a factor in Walmart's Vizio acquisition as well.

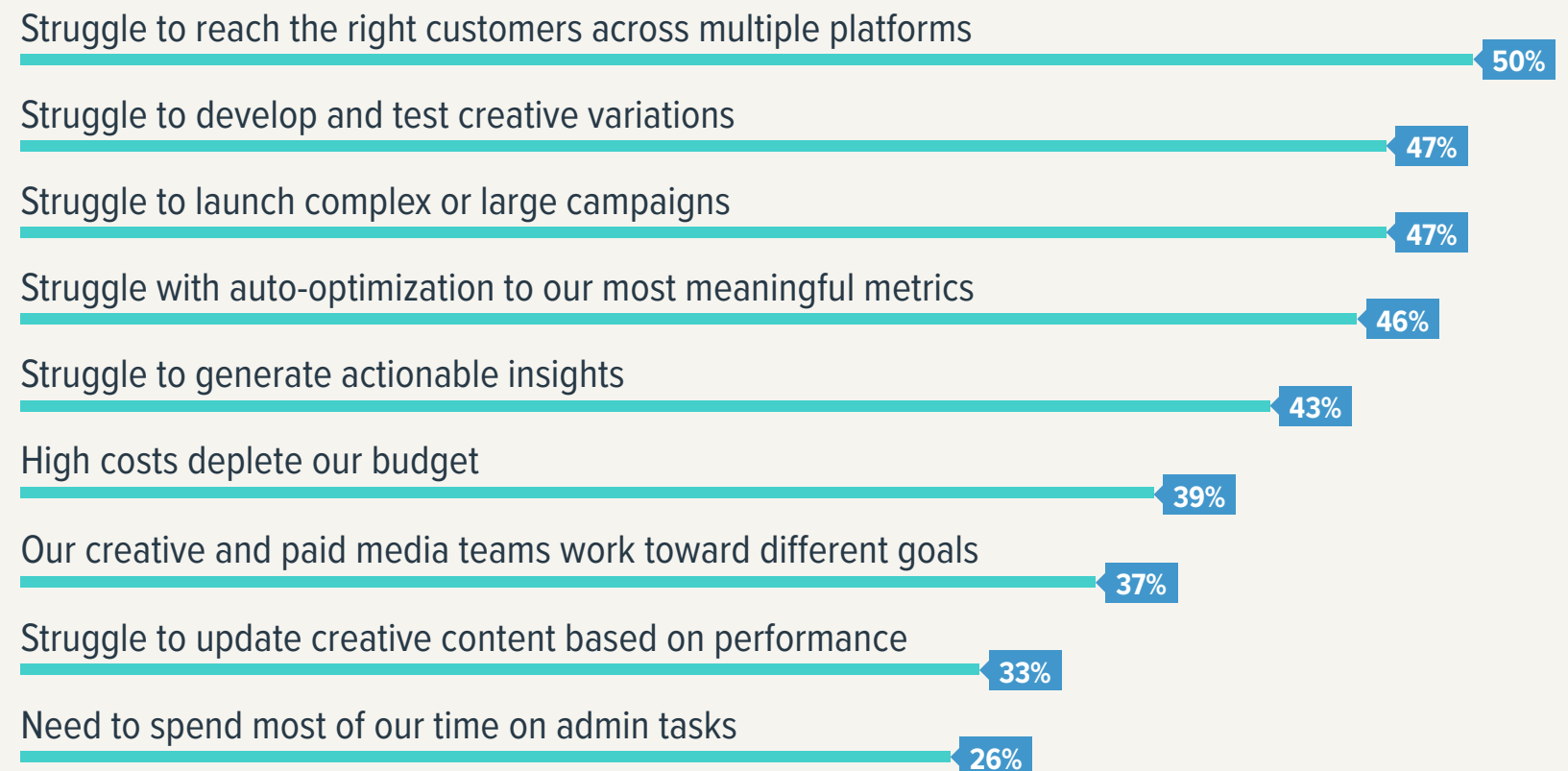


CONNECTING THE DOTS

What Brands Should Do Now

The future of media is integrated, and your brand needs to get on board or get out of the way. You need to build a unified media strategy to take full advantage of these points of convergence and make the best possible decisions for your brand and business, from budgets to measurement to creative.

LEADING CONSEQUENCES OF CHALLENGES FACED BY THE COMPANIES OF DIGITAL MARKETERS IN NORTH AMERICA, JUNE 2023 *(% of respondents)*



Source: Forrester

Taking a holistic view to make better business decisions

Any investments you make as a brand, whether that's a tech solution or a new channel, shouldn't be channel-led—they should flow from an integrated media strategy.

Integration doesn't require a complete re-org, but you will need an integrated media lead (or leads) who can take a wider view of

how marketing can help the business achieve or accelerate toward its overall goals.

These integrated media leads should look at the entire media mix holistically, so they're not so focused on the nitty gritty in a particular channel that they miss the big picture. They should collaborate with channel experts, of course, but in the end they should be responsible for planning, optimization, and budget stewardship across channels.

These critical integrated functions are on the rise, and they will help your teams communicate more effectively by reducing silos as much as possible. If walls are too high between different teams, you won't be able to recognize new cross-channel trends, share creative insights from different channels, or shift budget between channels quickly to adjust to changing demand or other performance factors in one channel.

That puts you at a disadvantage, since making quick pivots to capitalize on (sometimes short-lived) trends is the name of the game in today's fast-moving online landscape. Everything your brand is doing in each channel should ladder up into shared goals and KPIs that your integrated media lead is tracking against, so channels aren't pitted against each other.

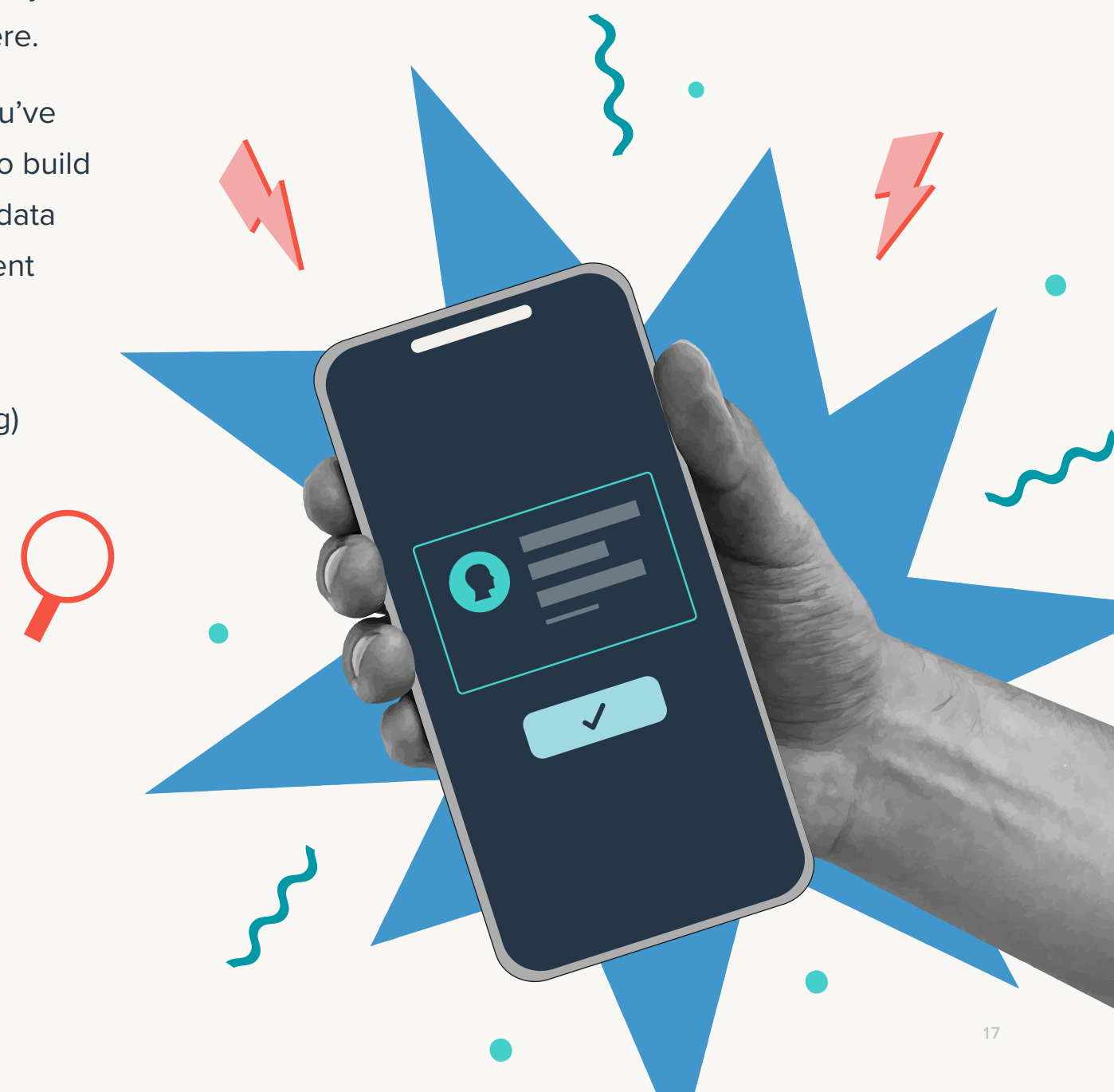
Knocking down the walls across measurement

As the cookie leaves the stage, first-party data is the key to success. Collecting that data will require a united effort across your teams, but the buck doesn't stop there.

Data accessibility is critical. Once you've collected first-party data, you need to build the right infrastructure to move that data around for targeting and measurement purposes. Essentially, you'll want to be able to send first-party data to platforms for targeting (or retargeting) purposes and to match against ad exposures for measurement.

You need to put the right solutions in place so all teams can access the data they need to make the

best possible decisions. There are three essential solutions you need to deploy to get an integrated view of audiences and performance and keep your marketing accountable to business outcomes.



Three Essential Integrated Measurement Solutions

DATA CLEAN ROOMS

Data clean rooms let marketers intermingle and analyze first-party data while avoiding exposure to the underlying PII. They're helpful for brands looking to better understand user interactions across ads and maintain user privacy. Clean rooms can power privacy-safe audience modeling, performance optimization, and "what if" forecasting, among other audience and media delivery insights.

INCREMENTALITY TESTING

Robust incrementality testing can help brands validate modeled performance data and get a clearer picture of how campaigns are affecting the full customer journey. Matched market or geo-holdout testing, where advertisers negate specified geographical areas (DMAs, states, zip codes, etc.) from campaigns to compare against similar geographical areas, is the best way to determine the true value of marketing.

MEDIA MIX MODELING

Media mix modeling (MMM) gives advertisers a more holistic view of how media impacts business performance over time. These models typically incorporate non-media variables to help determine media's impact, but they don't rely on tracking or cookies. Analysts can also use them to forecast and optimize a brand's media mix and spend based on the model's results.

Media will continue to converge; if you put the right people, processes, and tech in place now, your brand will be positioned to accelerate growth by taking advantage of these new opportunities while your competition is still trying to run an older playbook. This is your moment to ask: how will you set up your brand to win?

READY TO THINK LIKE A CHALLENGER?

Wpromote is an independent marketing agency that drives next-level growth by challenging conventional thinking. We deliver immediate impact and accelerate outcomes for clients like Intuit QuickBooks, Peacock, Spanx, TransUnion, and Vuori. Our agile decision-making and unique approach to media and marketing is powered by our Challenger culture, deep business intelligence, and predictive Polaris platform.

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